Indian Economy on the Eve of Independence – Full Revision

Meaning

- Refers to the economic condition of India just before 15 August 1947
- Indian economy was shaped by nearly 200 years of British colonial rule
- Objective of British policies was exploitation, not development

Main Features of Indian Economy on the Eve of Independence:

1) Low Level of Economic Development:

- India was one of the poorest countries in the world
- National income was very low
- Economy showed stagnation (no growth over long period)

2) Occupational Structure:

- Primary sector (Agriculture) about 70~75% population
- Secondary sector (Industry) & Tertiary sector underdeveloped
- Shows backward economy

3) Agricultural Sector:

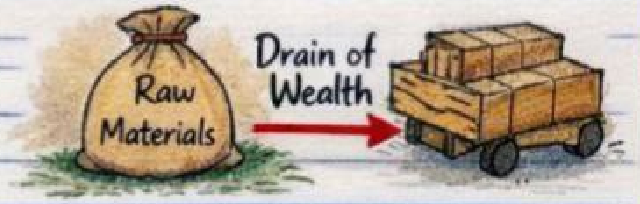
- Low productivity due to:
  - Outdated farming techniques
  - Lack of irrigation facilities
  - Heavy dependence on monsoon
- Land Revenue Systems: Zamindari, Ryotwari, Mahalwari

Frequent famines and poverty

4) Industrial Sector:

- Deindustrialisation
- Decline of handicrafts
- Limited modern industries
- No capital goods sector

Exports | Imports



Foreign Trade:

- Export surplus (Drain of Wealth)
- Exports: Raw materials (cotton, jute, tea)
- Imports: Finished goods from Britain

6) Infrastructure:

- Railways for British benefit
- Poor roads, ports & communication

5) Demographic Condition:

- High birth rate & death rate
- Low life expectancy (~32 years)
- Widespread poverty & illiteracy

Conclusion:

- Agricultural – Backward – Underdeveloped – Dependent
- Need for Planned Economic Development

- Exam Keywords (Must Use):

• Deindustrialisation • Drain of Wealth • Stagnation • Low Productivity • Colonial Exploitation

Indian Economy during 1950–1990 – Full Revision

The period 1950–1990 represents the phase of planned economic development in India. After Independence, India adopted a **mixed economy**, where both public and private sectors operated together. The objective was to achieve economic growth along with social justice.

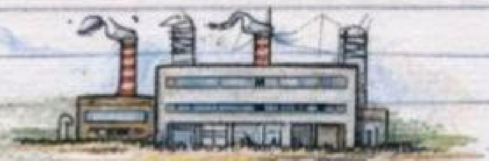
1) Planning and Goals:

- India introduced Five-Year Plans with the following main goals:
- **Growth** – Increase national income
- **Modernisation** – Use of new technology and skills
- **Self-reliance** – Reduce dependence on foreign countries
- **Equity** – Reduce poverty and income inequality

- The public sector was given a dominant role in core industries.

2) Agricultural Sector:

- Agriculture was backward at Independence.
- Measures taken:
  - Land reforms (abolition of zamindari system)
  - Expansion of irrigation
  - Use of modern inputs (HYV seeds, fertilisers, machinery)
- Green Revolution (1960s):
  - Increased foodgrain production
  - Made India self-sufficient in food
  - Limited mainly to wheat and rice
  - Benefited only some regions → regional inequality



3) Industrial Sector:

- Adopted inward-looking industrialisation strategy.
- Focus on import substitution to reduce imports.
- Development of heavy and basic industries like steel, power, machinery.
- Public sector played a major role.
- Problems:
  - Inefficiency
  - Bureaucratic delays
  - Lack of competition

4) Trade Policy:

- India followed a closed economy policy
- High tariffs and quotas on imports.
- Protected domestic industries but:
  - Reduced competition
  - Limited technological advancement.

5) Economic Growth:

- Growth rate was slow and called "Hindu Rate of Growth" (~3–4%).

The period 1950–1990 helped build basic industrial and agricultural foundations, but. slow growth, inefficiency and global isolation led to the need for economic reforms in 1991.

Exam Keywords (Must Uss):

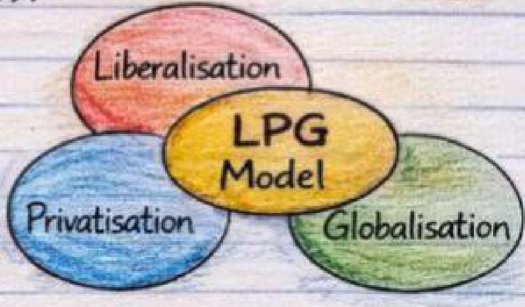
- Mixed Economy · Five-Year Plans · Green Revolution · Import Substitution
- Inward-looking strategy · Hindu Rate of Growth · Hindu Rate of Growth

Economic Reforms in India since 1991 – Full Revision

India introduced economic reforms in 1991 to overcome a serious economic crisis. In 1990–91, India faced low foreign exchange reserves, high inflation, rising fiscal deficit and an adverse Balance of Payments (BOP) situation. To deal with this, the government introduced the New Economic Policy (NEP), 1991, with the support of the IMF and World Bank.

1) Background of Economic Reforms

- India followed a controlled, inward-looking economy before 1991
- Excessive government control led to:
- Low growth rate
- Inefficiency
- Poor quality of goods



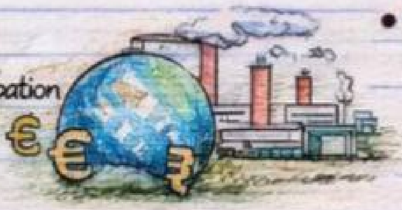
By 1991:
- Forex reserves could pay for only 2–3 weeks of imports
- India pledged gold to borrow money
- This situation made reforms unavoidable.

Economic Reforms (LPG Model)

- **Liberalisation**: removal of unnecessary government restrictions.
- Measures:
- Abolition of industrial licensing (except few industries)
- Freedom to set up industries
- Reduction in import duties
- Reduction in taxes

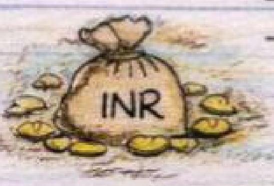
2) Privatisation: reducing government ownership and control.

- Measures:
- Disinvestment of PSUs
- Encouraging private sector particpation
- Autonomy to PSUs



3) Globalisation:

- Globalisation means integration with world economy.
- Measures:
- Reduction in trade barriers
- Promotion of exports
- Free flow of goods, services and capital



Sector-Specific Reforms

- **Industrial Sector Reforms**:
- End of industrial licensing
- Reduction of public sector reservation
- Freedom to import capital goods
- MRTP Act relaxed

- **Financial Sector Reforms**:
- Reduction in CRR and SLR
- Entry of private and foreign banks
- Deregulation of interest rates
- Improved role of RBI

- **Fiscal Reforms**:
- Reduction in taxes
- Control over fiscal deficit
- Broadening tax base
- Simplification of tax structure.

•) World Trade Organisation (WTO):

- India became member in 1995
- Amis: · Promote free trade
  · Connove trade barriers
- India benefited in services but agriculture faced challenges.

Sector-Specific Reforms:

- **Industrial Sector Reforms**
- End of industrial licensing
- Reduction of public sector reservation
- Freedom to import capital goods

Positive Impact	Negative Impact
– Higher growth rate	• Growth became unequal
– Increase in foreign meed	– Rise in unemployment
– Rise in exports	• Agriculture neglected
– Technological advancement	

Exam Keywords (VERY IMPORTANT)

• New Economic Policy (1991) • LPG Model • • Balance of Payments Crisis • Liberalisation • Privatisation
• Liberalisation • Privatisation • Globalisation

Rural Development- Full Revision (According to NCERT)

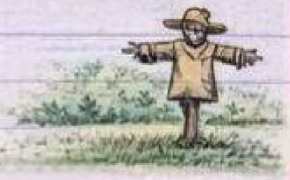
• Meaning of Rural Development

- Rural development is a comprehensive term which includes:
  - Development of agriculture
  - Development of non-farm activities
  - Improvement in human resources
  - Development of infrastructure.

Its main aim is to improve the quality of life of people living in rural areas.

• Key Issues in Rural Development

1) Development of Human Resources:



- Literacy, especially female literacy
- Education and skill development
- Health care facilities
- Sanitation and safe drinking water

Human resource development improves productivity and rural income.

• Problem: Poor implementation due to lack of political will.

2) Rural Credit:

- Rural households need credit for:
  - Agriculture
  - Self-employment
  - Consumption needs

• Institutional: Banks, cooperatives, NABARD.

• Non-institutional: Moneylenders and traders.

- Government promotes institutional credit to reduce exploitation.

3) Agricultural Development:

- Agriculture is the backbone of rural economy.
- Measures needed:
  - Use of modern technology
  - Expansion of irrigation
  - Institutional credit
  - Crop insurance

• Conclusion:

Rural development requires a multi dimensional approach involving agriculture, non-farm activities. infrastructure, human development and sustainablity

4) Diversification of Rural Economy.

- Reducing dependence on agriculture bypromo-ting.
  - Animal husbandry
  - Fisheries
  - Horticulture
  - Rural industries
  - Solf-employment

5) Poverty Alleviation

- Government programmes aim reduce rural poverty.

• MGNREGA (2005):
  - Guarantees 100 days of wage employment.
  - Promotes asset creation
  - Strengthens livelihood security

• NCERT Exam Keywords:

- Rural Development • Human Resource Development
- Land Reforms • Rural Credit • Diversification
- Sustainable Development • MGNREGA

Indian Economy –

HUMAN CAPITAL FORMATION

FULL CHAPTER REVISION | CBSE CLASS 12 NCERT

✓1. Meaning of Human Capital

- Human Capital" refers to the stock of skills, education, health and abilities of people that contribute to productive capacity of an economy.
- Unlike physical capital, human capital is embodied in people.
- Improves labour productivity, innovation, and economic growth.

In simple words: Human capital = educated + skilled + healthy people

✓2. Sources of Human Capital Formation

- (a) Expenditure on Education
  - School education
  - Higher education
  - Technical & Vocational education
  - On-the job training

- (b) Expenditure on Health
  - Preventive care (vaccination sanitution)
  - Curative care (Treatment, hospitals)
  - Nutrition & Clean water

- (c) Expenditure on Skill Development.
  - Industrial Training Institutes
  - Skill India Programs
  - Apprenticeship

- (d) Migration
  - Higher income + New skills ⟶ Brain Drain

✓6. Education as a Source of Human Capital

- (a) Importance of Education
  - Enhances labour efficiency
  - Raises national income
  - Promotes social justice
  - Reduces income inequalities

India

- Government expenditure on education
  - less than required

- Universal elementery education
- Mid-Day Meal Scheme
- Sarua Shiksha Abhyan

- (c) Problems in Indian Education System
  - Low public spending
  - Poor quality of education
  - High dropout rates & Regional

✓4. Why Human Capital is Important? (Rol/ Sigiticance)

- (i) Increases Productivity
- ii) Innovation & Technological Advancement
- (ii) Economic Growth
- (iv) Social Development
- (v) Improves Quality of Life

✓5. Human Capital vs Physical Capital

(w). Meaning	Physical Capital
Skills & Abilities	• Man-made Goods
Intangible	• Tangible
Cannot be separated	• Depreciates easily
Education & Health	• Investment in Machines

✓6. Problems of Human Capital Formation

- Insufficient Public Expenditure
- Brain Drain
- Low Quality of Education
- Gender Inequality

✓3. Conclusion (Exam-Perfect)

- ✓ Human capital formation is essential for Sustainable Development.
- ✓ Education and health are investment, not consumption.
- ✓ India must increase public spending and improve quality to resp Demographic Dividend.

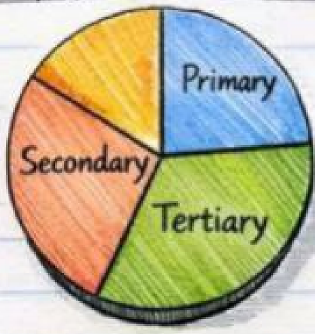
Employment: Growth, Informalisation and Other Issues (Revision)

- **Employment** refers to all economic activities performed by people to earn income. It includes both self-employment and wage employment.

Workforce and Labour Force

- **Workforce**: People actually engaged in economic activities.
- **Labour force**: Workforce + people willing and able to work.
- Labour force participation rate (LFPR) shows availability of labour in an economy.

Employment Distribution



Employment Growth

→ Employment growth in India has been slow and irregular, especially after economic reforms.

→ Growth of population is faster than growth of employment, leading to unemployment.

→ Structural change from agriculture to industry and services is slow, causing pressure on agriculture.

Types of Unemployment

1. **Open Unemployment** – People willing to work but unable to find jobs.
2. **Disguised Unemployment** – More workers employed than required (common in agriculture).
3. **Seasonal Unemployment** – Employment available only during certain seasons.
4. **Educated Unemployment** – Educated people unable to get suitable jobs.

Informalisation of Employment

→ A major issue in India is the increase in informal employment.

→ Informal workers:
- Do not have job security
- Do not receive social security benefits
- Work for low wages and long hours.

→ Even in the organised sector, many workers are on contract or casual basis.

Sector-wise Employment

→ **Primary Sector** (Agriculture): Largest employer but low productivity.

→ **Secondary Sector** (Industry): Limited employment growth.

→ **Tertiary Sector** (Services): Fastest growing employment sector.

Government Initiatives

→ Skill development programmes.

→ Employment guarantee schemes.

→ Promotion of self-employment and MSMEs.

Environment and Sustainable Development (Full Revision)

Environment refers to all biotic and abiotic components (land, air, water, forests, wildlife, human beings).

Environment Performs Four Functions:

- Supplies Resources
- Assimilates Waste
- Sustains Life
- Provides Aesthetic Services

⟹ Overuse beyond carrying capacity leads to **Environmental Degradation.**

Environmental Crisis:

- Air, Water & Land Pollution
- Global Warming & Climate Change
- Ozone Layer Depletion
- Loss of Biodiversity
- Depletion of Renewable & Non-Renewable Resources

↓ Quality of Life

Causes of Environmental Degradation:

- Over-Exploitation of Natural Resources
- Use of Fossil Fuels
- Industrial Waste & Effluents
- Deforestation
- Rapid Population Growth
- Unsustainable Consumption

Meaning of Sustainable Development:

- Development that meets present needs without compromising the ability of future generations.
  - Conservation of Resources
  - Inter-Generational Equity
  - Balanced Economic Growth + Environmental Protection

Global Environmental Efforts:

- Earth Summit (Rio 1992)
- Kyoto Protocol (Reducing GHG Emissions)

Strategies for Sustainable Development:

- Renewable Energy (Solar, Wind, Biogas)
- Cleaner Fuels. LPG, CNG
- Afforestation & Forest Conservation
- Sustainable Agriculture & Organic Farming
- Water Conservation (Rainwater Harvesting)
- Reuse & Recycling of Waste
- Public Awareness & Eco-Friendly Practices

Conclusion:

Economic development without environmental protection is harmful. Sustainable development is the only path to achieve long-term economic growth, Environmental safety & Welfare of Future Generations.

Development Experience of India:

A Comparison with Neighbours

Introduction

- After independence, India, China, and Pakistan started their development journey almost at the same time.
- All three countries adopted different economic systems and policies, leading to different growth outcomes.

Development Strategy of India

- Mixed economy system
- Public sector + Private sector
- Adopted Five-Year Plans
- Focus on:
  - Heavy industries
  - Agriculture
  - Self-reliance.
- Political system: Democracy
- Economic Reforms (1991):
  - Liberalisation
  - Privatisation
  - Globalisation (LPG)
- Strengths:
  - Strong service sector (IT, software)
  - Stable democratic institutions

Development Strategy of China

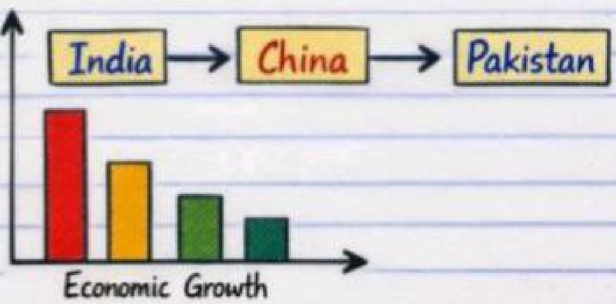
- Centralised planning (like USSR)
- Economic Reforms in 1978
- Focus areas:
  - Export-led growth
  - Manufacturing sector
  - Infrastructure development
- Political system: One-party rule
- Achievements:
  - Very high GDP growth
  - Fast poverty reduction
  - Global manufacturing hub
- Problems:
  - Environmental degradation
  - Regional imbalance
  - Lack of political freedom

Development Strategy of Pakistan

- Mixed economy
- Faced:
  - Political instability
  - Military rule
  - Frequent policy changes
- Heavy dependence on:
  - Foreign aid
  - External borrowing
- Weak areas:
  - Industrial growth
  - Education
  - Health sector
- Result:
  - Slow and unstable economic growth

Comparison of Outcomes

- Economic Growth: China → India → Pakistan
- Poverty Reduction: China performed best
- Human Development: India better than Pakistan
- Political Stability: India most stable



Conclusion

- Different economic policies led to different development outcomes.
- China achieved fastest growth, India ensured democratic stability, Pakistan lagged due to instability.
- India's development path focuses on long-term, inclusive, and democratic growth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